

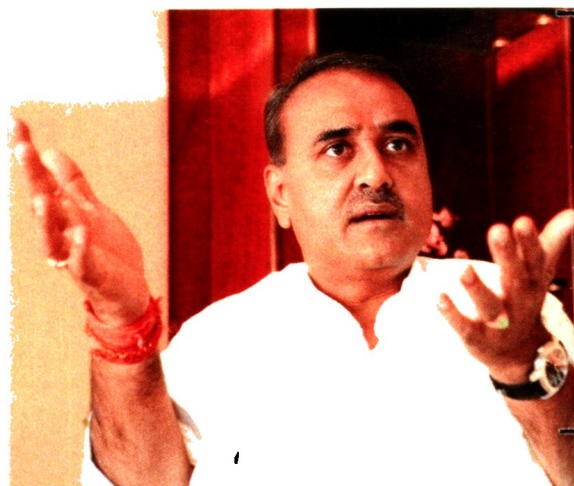
the Government on the condition that it first cuts costs. The management has outlined a blueprint for revival which calls for cost cutting in the first 18 months after which it would aim for profitability. But its executive pilots, who are among the best paid in the country and are part of the management, will have none of it. "No company can be turned around simply by cutting employee salaries. What about fuel guzzling aircraft or the Rs 600-crore revenue from ground handling charges which Air India has simply outsourced to a private agency?" asks senior executive pilot V.K. Bhalla who spearheaded the pilots' agitation.

The reason for the power the pilots wield is simple. If ground handling staff were to go on strike, they do so knowing an airline could still function. When pilots go on strike, they do so knowing they will be effective from day one. "It is this tremendous bargaining power the pilots wield which encourages them to strike," says H.S. Khola, former director-general of civil aviation.

"I want to ask the pilots; what is

“ AIR INDIA HAS JUST 17% MARKET SHARE. I WANT TO ASK THE PILOTS WHAT THEIR CONTRIBUTION TO THE AIRLINE'S TURNAROUND IS. ”

PRAFUL PATEL,
Civil Aviation Minister



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your contribution towards Air India's turnaround?" an exasperated Civil Aviation Minister Praful Patel asked the striking pilots hours before they called off the four-day strike.

It is a question that still begs an answer because, as Air India officials say, private companies can shed employees but Air India cannot do so because it is managed by the Government. Air India's employee costs are Rs 3,300 crore of which the

PLI make up Rs 1,500 crore. As the airline sank deeper into the red in the past four years, the PLI galloped (see box) until it came to a stage when a senior commander got a salary of Rs 65,000 but allowances of Rs 8 lakh. "Somewhere the formula was out of sync," says Arvind Jadhav, CMD, National Aviation Company of India Ltd (NACIL). NACIL was created by the merger of Air India and Indian Airlines. "You cannot have

Graphic by PRASHANT CHAUDHARY/ www.indiatodayimages.com

What Air India employees earn per month

Pilots	SALARY				
	Minimum	Maximum	PLI	Min + PLI	Max + PLI
Director (Ops)	67,785	78,695	4,96,085	5,63,870	5,74,780
GM (Ops)	59,998	73,636	4,84,835	5,44,833	5,58,471
Dy GM (Ops)	54,951	64,611	4,73,585	5,28,536	5,38,196
Commander	48,128	52,056	3,86,335	4,34,463	4,38,391
Captain	34,188	36,688	2,50,935	2,85,123	2,87,623
First officer	27,749	32,285	1,71,595	2,01,344	2,03,880

Figures in rupees denote monthly salary and PLI. PLI: Productivity-Linked Incentive

